



STAND-IN

Liquidity Stress Testing Framework

Golden fidelity document

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Treasury Modelling

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Executive summary

This document exercises every feature of the team template so that the Galley output can be compared, page by page, with the same content typeset directly through the original class.

1 Introduction

Liquidity stress testing follows the supervisory framework (Basel Committee on Banking Supervision, 2013). The classic account of bank runs is Diamond and Dybvig (1983). Text can carry *emphasis*, **strong emphasis** and `inline code`, and a footnote.¹

1.1 Scope

The framework covers three things:

- retail and wholesale deposits;
- committed credit and liquidity facilities;
- collateral calls on derivatives.

It is applied in two steps:

1. Project contractual and behavioural cash flows.
2. Compare cumulative net outflows with the liquidity buffer.

1.1.1 Scenario design

Scenarios combine market-wide and firm-specific shocks.

Idiosyncratic stress. A two-notch downgrade triggers wholesale funding run-off of 40%.

Market stress. Haircuts on level 2 assets widen by 15 percentage points.

Key finding

The 30-day survival horizon is met in every scenario, with a minimum buffer of 112% of net outflows.

Next step

Recalibrate deposit outflow rates every quarter.

2 Results

Figure 1 shows the survival curve and Table 1 lists the outflow assumptions discussed in Section 1.

¹The survival horizon is 30 calendar days, costing \$1.2m a year to monitor.

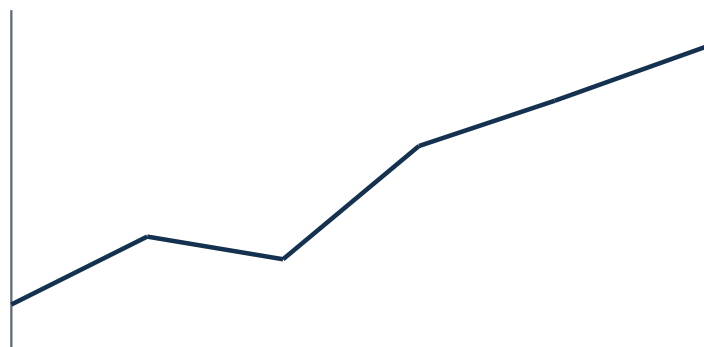


Figure 1. Cumulative liquidity buffer over the stress horizon

Table 1. Outflow assumptions by deposit category

Category	Outflow rate	Balance (\$m)
Stable retail	5%	12,400
Less stable retail	10%	6,150
Operational	25%	3,980
Non-operational	40%	2,275

The liquidity coverage ratio is $LCR = HQLA/NCO \geq 100\%$.

References

- Basel Committee on Banking Supervision. Basel iii: The liquidity coverage ratio and liquidity risk monitoring tools. Technical report, Bank for International Settlements, 2013.
- Douglas W. Diamond and Philip H. Dybvig. Bank runs, deposit insurance, and liquidity. *Journal of Political Economy*, 91(3):401–419, 1983.